



Revised Guideline for Treating Unclaimed Benefits and Suspended Pensioners

8 July 2022

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Authorisations

This Guideline is issued in terms of section 3(1) of Statutory Instrument 69 of 2020, which empowers the Commission, whenever it considers it necessary, convenient and in the best interest of policy owners and pension and provident fund members, to issue general guidelines and standards, which may provide for the market conduct practices, to be observed by the insurance and pensions industry.

1. DEFINITION OF TERMS

“Consumers” - pension and provident fund members, and beneficiaries.

“IPEC or Commission” shall mean the Insurance and Pensions Commission, and the terms shall be used interchangeably.

“Members with Unclaimed Benefits” shall mean members of a fund who have not claimed their benefits when they became due and payable and cannot be located by the fund for a period of more than six months after the date of entitlement as defined in this circular.

“Preservation Period” shall mean the period for which the unclaimed benefits shall remain invested in the fund, which period shall not exceed five years.

“Suspended Pensioner” shall mean a pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of existence.

1.1.1 **“Unclaimed Benefit”** means a pension benefit that has become legally due for payment for which no claim has been lodged and has remained unpaid to the member or beneficiary for a period of **more than six (6) months** from the date it has become due. A pension benefit is also deemed unclaimed when it remains unclaimed or unpaid to a member, former member, or beneficiary for a period of six months after the fund is dissolved in terms of section 10 of the Pension and Provident Funds Act [Chapter 24:09].

2. INTRODUCTION

2.1 In pursuance of its statutory mandate to regulate and monitor the management and administration of funds as well as the activities, within the pensions industry, the Insurance and Pensions Commission conducted an offsite inspection targeting unclaimed benefits.

2.2 Through the inspection, the Commission observed that there was an information gap, resulting in limited awareness by fund members on the following key requirements:

- a) Importance of updating membership data
- b) Circumstances creating eligibility to lodge a claim
- c) Timeframes for lodging a claim
- d) Requirement for and frequency of submitting Certificates of Existence.

2.3 The low level of awareness has led to the suspension of member and eventually benefits have remained unclaimed for extended periods.

2.4 Given the information asymmetry that may exist between the fund/ administrators and fund members regarding the information required, steps should be taken to ensure that suspended benefits are resumed, and unclaimed or suspended benefits are accessed.

2.5 It is critical to note that continued incidences of unclaimed benefits and suspended pensioners undermine the purpose of pensions industry, resulting in a decline in the uptake of products and services. Therefore, the Commission has developed this framework to protect the rights and interests of members of pension funds with unclaimed or suspended benefits in line with its mandate as enshrined in the Insurance and Pension Commission Act [Chapter 24:21].

3. OBJECTIVES OF THE GUIDELINE

3.1 This guideline has been necessitated by the need to reduce the prevalence of unclaimed benefits and suspended pensions in the pensions industry.

3.2 Its primary objectives are: -

- a) To review and replace Circular 19 of 2021.
- b) To provide a guideline for the treatment of unclaimed benefits and suspended benefits, which pension funds/administrators, are required to comply with throughout the lifetime of their operations. It lays out the processes and procedures that the pensions industry must follow in dealing with unclaimed benefits.
- c) To put in place a consistent and standardised approach in the treatment of unclaimed benefits across the pensions industry.
- d) To ensure that members with unclaimed benefits are not excluded in the participation of bonus declarations, pension increases, distribution of revaluation gains and interests from investments.
- e) To ensure that fund members have access to adequate information on requirements to claim pension benefits.
- f) To promote the uptake of pension products through efficient pension operating system that reduces the occurrence of unclaimed benefits; and
- g) Restore confidence in the pensions industry.

4. SCOPE AND EFFECTIVE DATE

4.1 This Guideline shall be applicable to all fund administrators including Insurers, pension and provident funds that fall under the regulation of IPEC. It shall be used in conjunction with all other legislation pertaining to pension funds operating in Zimbabwe, including Circulars and other directives issued by the Commission.

4.2 This Guideline becomes operational with immediate effect.

4.3 The Commission reserves the right to amend this Guideline from time to time.

5. LEGISLATIVE PROVISIONS ON UNCLAIMED BENEFITS

- 5.1 Treatment of unclaimed benefits for active funds is regulated by section 99 of the Administration of Estates Act [Chapter 6:01], which deals with the treatment of unclaimed benefits in general. In terms of section 99, every person other than a deposit receiving institution carrying on business in Zimbabwe shall in January in each year prepare a detailed statement of all moneys amounting to one hundred dollars which were in his or her hands and remained in his and her hands for a period of five years or more and must surrender such moneys to the Master of High Court together with a statement with the owner's details.
- 5.2 Section 34 (2) (a) of the Pensions and Provident Funds Regulations SI 323 of 1991 provides guidance on treatment of unclaimed benefits for dissolved funds. When a fund is dissolved and if it becomes impossible, after all reasonable efforts have been made to trace a member to whom an amount is payable from the fund, that amount shall, after a specified period of not more than three years, be paid to the Guardian's Fund, Master of the High Court of Zimbabwe.

6. PRINCIPLES TO BE OBSERVED IN THE TREATMENT OF UNCLAIMED BENEFITS AND SUSPENDED PENSIONERS.

- 6.1 A pension benefit shall only be deemed as an unclaimed benefit if it falls within the definition provided under this Guideline.
- 6.2 A pensioner shall be deemed as suspended if he/she falls within the definition of a suspended pensioner contained in this guideline provided that no pension fund or pension fund administrator shall automatically stop paying a pension benefit as at 31 December of each year due to non-lodging of the completed life certificate by the pensioner.

- 6.3 The classification of a benefit as unclaimed, or a pensioner as suspended shall not absolve the fund/fund administrator from pursuing measures at its disposal to ensure that the member is located, and the benefit is paid to the member or beneficiary.
- 6.4 Notwithstanding the generality of the above provisions, each pension fund/ fund administrator shall, 15 days before the end of the financial year, publish a notice in a newspaper of wide circulation calling upon all pensioners to submit completed life certificates within 60 days after year-end, failure of which will result in the stoppage of payment of pension benefits by 31 March of that year. In instances where the costs of publishing the names are unsustainable, the affected fund/administrator shall explore other cost-effective ways in calling for life certificates.
- 6.5 All unclaimed benefits and benefits for suspended pensioners shall earn such bonuses, pension increases, revaluation gains and any other returns that are distributable to the members in response to movements in asset value or trends in the operating economic environment.
- 6.6 No unclaimed benefit or suspended pension shall be forfeited and/or distributed to other members of the Fund.
- 6.7 An unclaimed benefit shall remain preserved in the fund for a maximum period of five years. At the expiry of the five -year period and where the benefit remains unclaimed, the fund/administrator is directed to lodge all such benefits with the Guardian Fund under the Master of the High Court together with the schedule of names, addresses and the amount of assets per each member.
- 6.8 No registered fund shall keep unclaimed benefits in the Fund in perpetuity.

7. REPORTING UNCLAIMED/SUSPENDED BENEFITS

- 7.1 For the purposes of tracking records and all unclaimed benefits, all pension funds/ fund administrators must submit together with quarterly

returns, the schedules of names, assets, addresses and national registration numbers for those members. The schedule shall show the date when the benefit was suspended/categorised as unclaimed. A separate schedule showing benefits lodged with the Guardian Fund under the Master of the High Court shall also be attached.

7.2 In addition, the fund/administrator shall submit a schedule on pension increases/bonus awards granted on unclaimed and suspended benefits. Separate schedules clearly marked "suspended pensioners" or "unclaimed benefits", as the case maybe, shall be submitted and shall clearly show the value of benefits before and after the pension increase or bonus award. The schedule shall be accompanied by a detailed report outlining the movement in assets supporting such liabilities and it shall state how expenses and any movements in asset value have impacted on the individual values of the members.

7.3 The fund/administrator shall also advise the Commission on the measures explored and/or to be explored to facilitate resumption of benefit payments.

7.4 Where the schedules referred to above are submitted by a fund administrator/insurer, the schedules shall clearly show the name of the fund where the benefit is preserved.

8. GUIDANCE ON DETERMINING UNCLAIMED BENEFITS

8.1 Determination of Unclaimed Benefit

8.1.1 The date on which the benefit becomes due, and the member becomes eligible to receive the benefits is defined as the date of entitlement. In terms of section 17 of the Pension and Provident Funds Regulations, 1991 (S.I 323/91), "date of entitlement", in relation to the entitlement of a member who is or has been a member of a fund to any benefit from the fund, means the date on which **he or she retired** on account of **age** or **ill-health**, or **ceased to be a member** of the fund, or the date of happening of any other event which, in

accordance with the rules of the fund in question, **entitles the member to any benefit from the fund.**"

- 8.1.2 Events such as, withdrawal/resignations or transfer by the member to another fund due to change of fund¹ by the employer, do not entitle a member to start receiving benefits from the fund. Even in instances, such as resignation, where the law gives the member an option to withdraw member's own contributions, failure by the member to exercise this option does not mean that the benefits should be classified as due and payable. The treatment of benefits for members who leave the fund prior to reaching retirement age is specified below.

9. PRESERVED BENEFIT/DEFERRED PENSIONERS- MEMBERS LEAVING FUND PRIOR TO RETIREMENT AGE.

- 9.1 A preserved benefit is a benefit that a member accrued by virtue of participation in a fund on account of pensionable employment, which was not paid to the member at withdrawal from such employment prior to reaching the retirement age specified in the rules of the fund. Until the member becomes entitled to withdraw the benefit, it is preserved in the fund where it continues to earn interest.
- 9.2 Section 18 of the Regulations provides that members who are below 55 years, who resigned from employment, can opt to take the member portion as a lumpsum. The employer portion is automatically preserved if it falls above the maximum prescribed limit.
- 9.3 It is clear from this section that, members who retire prior to reaching the age of 55 years, cannot be deemed as legally entitled to benefits. What they have is a legal right to exercise an option to withdraw the allowable portion of the benefit. Where this option is not exercised, the benefit is preserved, and the member is classified as a deferred

¹ This refers to active employees who are transferred to another fund, but their benefits remain with the fund they are transferring from. In such case the members must be classified as deferred pensioners.

pensioner. This is because the member has an option and electing to defer taking a pension helps to boost pension savings and can help ensure a comfortable retirement. Thus, if this option is not exercised, then the benefits become deferred together with the employer contributions, only becoming due and payable when the member reaches retirement age.

9.4 Thus, for such members, their benefits shall be kept until the normal retirement age in line with sections 18 and 25 of the Regulations. Benefits for such members may only be classified as unclaimed when a member reaches the retirement age but fails to come forward to claim the same.

9.5 Members with preserved benefits are generally referred to as “deferred pensioners” meaning they will access the accumulated pension upon reaching retirement age. Therefore, for reporting purposes, these members should be classified under Deferred Pensioners and not Unclaimed Benefits.

10 PERSONS LEAVING THE FUND ON ILL-HEALTH, RETRENCHMENT OR REDUNDANCY

10.1 In terms of section 22 of the pension regulations, where a member of a fund is retrenched, becomes redundant or his employer's business ceases, such member shall become entitled to start receiving benefits. In such instances, the law waives the retirement age requirement and entitles them to be considered as retirees at the date of retrenchment. The date of retrenchment becomes synonymous with the date of attaining retirement age. Thus, such persons qualify as pensioners and after six months of failing to claim their benefits, the benefit shall become classified as an unclaimed benefit.

10.2 At the expiry of five years after the benefits have become due for payment, if they remain unclaimed, the fund should proceed to lodge the benefits with the Guardian Fund.

11 REGULATORY EXPECTATIONS

- 11.1 To correctly classify a benefit, the member's date of birth, reason for the member's leaving the Fund and his or her last day of service must be known. These three elements are essential in determining the date on which the member attains retirement age, as well as whether to treat the member as a pensioner or deferred pensioner.
- 11.2 The fund administrator must employ clear communication channels between itself and the members of the fund to ensure that the member is timeously notified of the benefits that have become due and payable.
- 11.3 The primary objective of setting up a fund, remains the provision of benefits to persons who were members of such funds. Thus, the Trustees and Fund Administrators of a fund have a duty in terms of section 6E(b) of S.I 323/91 to ensure that members of a fund are adequately informed of their rights, benefits, and duties in terms of the rules of the fund.
- 11.4 Going forward, the Commission expects accuracy and consistency in the classification of members between the categories of unclaimed benefits deferred pensioners and suspended pensioners.
- 11.5 Failure to provide accurate and consistent data in this regard will be construed as deliberate provision of inaccurate information and will be penalised in line with section 34(1) of the Pension and Provident Funds Act [Chapter 24:09].

12 MEASURES TO REDUCE THE INCIDENCE OF UNCLAIMED BENEFITS AND SUSPENDED PENSIONERS.

- 12.1 At inception, funds/administrators must capture all the necessary information that is required to be able to maintain communication with the member on an ongoing basis. The joining forms should capture the relevant and necessary details that will assist in tracking members. Further, there must be constant communication on the need to update records, ideally every quarter, and the information updated accordingly.

- 12.2 Pension funds/administrators must institute and put in place measures to enhance the integrity of membership data, contribution history and the fund's investment performance and record of statutory reports, among other pertinent information. Given that pensions is a data intensive industry, all pension funds and administrators must invest in robust information technology systems. Every fund/administrator shall profile the membership and categorise the membership in different age brackets to ensure that members approaching retirement are clearly identifiable. Likewise, pensioners shall be categorised per geographical location and suitable methods of communication identified for each category.
- 12.3 Every fund/administrator shall ensure that it puts in place appropriate mechanisms for communicating with members who are approaching retirement, which measures must also take into account the need to maintain communication post retirement to ensure benefits are claimed timeously.
- 12.4 At termination, the claim forms should be detailed to capture the contact details of the beneficiaries and those of next of kin.
- 12.5 Every fund shall ensure that the benefit statements given to members of a fund states the various forms of exit that makes one eligible to claim a benefit.
- 12.6 Fund administrators/pension funds must provide their members with all the essential information relating to the procedures for claiming their benefits and all information regarding their pension rights.
- 12.7 Funds/Administrators shall explore measures to improve timely identification of members that have become eligible to receive payments. These shall include requiring the employer to furnish reasons for any reductions in the level of contributions between two consecutive periods to be satisfied that the reduction is not on account of members having left the employ of the employer and thus qualifying to lodge a claim to the fund.

- 12.8 Where a fund/administrator becomes aware that a member has left the employ of the employer, it must communicate to the member, within seven days of gaining such knowledge, as such information will ensure that the member is well informed about any benefit that has become due and payable as well as the procedures for lodging a claim.
- 12.9 At the time that a member buys an annuity or starts receiving a pension from the fund, the insurer/fund shall ensure that the member is advised of the requirement to lodge a certificate of existence, the mode and frequency for lodging such certificates. The consequences of the failure to submit the certificates shall be communicated, including available mechanisms for seeking redress in the event of encountering challenges.

13 ENFORCEMENT AND COMPLIANCE

- 13.1 The Commission reserves the right to monitor and enforce compliance with this guideline through applying any of the various supervisory and regulatory tools within its purview, including levying penalties for non-compliance prescribed under section 5 of Statutory Instrument 69 of 2020.

END OF DOCUMENT